No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT

On Writ of Certiorari to the
United States Court of Appeals for the Thirteenth Circuit

Brief for Respondent

Team 58R
Counsel for Respondent

QUESTIONS PRESENTED

I. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

II. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

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OPINIONS BELOW

In unreported opinions, the Bankruptcy Court for the District of Moot approved the Settlement and the sale of High Rocks' assets to 4th Street, and the District Court affirmed. (R. at 8.) The Thirteenth Circuit also affirmed; its opinion is reproduced as the record in this appeal.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

11 U.S.C. § 102
In this title—
(1)–(2) [omitted]
(3) "includes" and "including" are not limiting;
(4)–(9) [omitted]

11 U.S.C. § 105
(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.
(b)–(d) [omitted]

11 U.S.C. § 362
(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—
(1)–(2) [omitted]
(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;
(4)–(8) [omitted]
(b) The filing of a petition under section 301, 302, or 303 of this title, or of an application under section 5(a)(3) of the Securities Investor Protection Act of 1970, does not operate as a stay—
(1)–(2) [omitted]
(3) under subsection (a) of this section, of any act to perfect, or to maintain or continue the perfection of, an interest in property to the extent that the trustee's rights and powers are subject to such perfection under section 546(b) of this title or to the extent that such act is accomplished within the period provided under section 547(e)(2)(A) of this title;
(4)–(28) [omitted]
(c)–(f) [omitted]

(g) In any hearing under subsection (d) or (e) of this section concerning relief from the stay of any act under subsection (a) of this section—

(1) [omitted]

(2) the party opposing such relief has the burden of proof on all other issues.

(h)–(o) [omitted]

11 U.S.C. § 363

(a)–(o) [omitted]

(p) In any hearing under this section—

(1) the trustee has the burden of proof on the issue of adequate protection; and

(2) [omitted]

11 U.S.C. § 503

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)

(A) the actual, necessary costs and expenses of preserving the estate including—

(B)–(D) [omitted]

(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A)–(C) [omitted]

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E)–(F) [omitted]

4–(9) [omitted]

(c) [omitted]

11 U.S.C. § 507

(a) The following expenses and claims have priority in the following order:

(1) [omitted]

(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343),[1] and any fees and charges assessed against the estate under chapter 123 of title 28.

(3)–(10) [omitted]

(b)–(d) [omitted]

11 U.S.C. § 541

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.
(2) [omitted]
(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.
(4)–(6) [omitted]
(7) Any interest in property that the estate acquires after the commencement of the case.
(b)–(f) [omitted]

11 U.S.C. § 542
(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.
(b)–(e) [omitted]

11 U.S.C. § 1107
(a) Subject to any limitations on a trustee serving in a case under this chapter, and to such limitations or conditions as the court prescribes, a debtor in possession shall have all the rights, other than the right to compensation under section 330 of this title, and powers, and shall perform all the functions and duties, except the duties specified in sections 1106(a)(2), (3), and (4) of this title, of a trustee serving in a case under this chapter.
(b) [omitted]

STATEMENT OF THE CASE

Backstreets Plowing Inc., the Debtor, operated a snow plow business headquartered in Badlands. (R. at 2–4.) In August 2015, the Debtor purchased new snow plow trucks with $450,000 borrowed from Milton Weinberg. (*Id.*) A security interest in the newly purchased snow plow trucks was granted to Weinberg and the Debtor's sole shareholder, Christopher Clemons, personally guaranteed the loan. (R. at 3–4.) The parties agreed that monthly payments to Weinberg would commence in December 2015, after the plowing season began. (R. at 4.)

After purchasing the new trucks, the Debtor submitted a bid for a one-year snow plowing contract with the City of Badlands, renewable at the sole option of the City. (*Id.*) Relative to alternative bids, the Debtor's proposed contract had significantly lower profit margins and thus was far cheaper for the City. (Id.) City council members were skeptical as to whether the Debtor would be able to perform under the proposed terms, but ultimately awarded the contract to the Debtor. (*Id.*)

The winter of 2015-2016 was unusually mild in Badlands, with little snow. (R. at 5.) Because the City paid the Debtor a flat rate, irrespective of whether it snowed, the Debtor's operation costs were much lower than expected, which allowed the Debtor to enjoy a profitable season. (*Id.*) Notwithstanding, the Debtor still failed to make its monthly payments to Weinberg in December 2015, January 2016, and February 2016. (*Id.*) Weinberg made several phone calls attempting to contact Clemons, to no avail. (*Id.*) In response, Weinberg drove to the Debtor's facility in late February 2016, but Clemons had him forcibly removed from the premises by multiple plow truck drivers. (*Id.*) After this scuffle, Weinberg filed suit on the note in April 2016 in the State of Moot Circuit Court in Asbury Park County. (*Id.*) Weinberg also sued Clemons on his personal guarantee. (*Id.*) The court granted Weinberg a default judgement against the Debtor

and Clemons in October 2016, finding them jointly and severally liable for $450,000 plus interest and fees; Weinberg did not immediately pursue his right to collect on this judgment. (*Id*.)

The following winter of 2016-2017 was particularly intense and brought large amounts of snow. (*Id*.) The Debtor's flat-rate contract with the City resulted in substantial financial losses. (*Id*.) The income from the City was not enough to pay for the required repairs, employee wages, and fuel costs. (R. at 5–6.) In addition to this deficit, Weinberg began to pursue his right to collect on the judgment by hiring a repossession company to collect the trucks. (R. at 6.) The trucks were successfully repossessed and transferred to Weinberg's warehouse, where they currently remain.

After losing the trucks, the Debtor was unable to perform its obligations under its contract with the City. (*Id*.) Out of options, the Debtor filed a chapter 11 petition on February 4, 2017. Upon filing, the Debtor's attorneys sent Weinberg a letter demanding the trucks be returned. (*Id*.) Weinberg refused because he believed the Debtor first needed to bring a turnover action, at which point Weinberg could demand adequate protection of his interest in the trucks. The Debtor did not bring a turnover action, filing instead a motion asking for the bankruptcy court to rule that Weinberg was violating the automatic stay under § 362(a)(3) by passively retaining possession of the trucks. (*Id*.) The bankruptcy court found that this did not violate the automatic stay. (Id.) It ruled that passive retention of property lawfully repossessed pre-petition does not qualify as an "act to . . . exercise control over property of the estate" under § 362(a)(3). (*Id*.)

The Debtor timely appealed the bankruptcy court's decision in March 2017. (*Id*.) Shortly thereafter, the Badlands city council notified the Debtor that it would not be renewing its plowing contract. (R. at 6–7.) This eliminated any likelihood that the Debtor could facilitate an

effective reorganization, so the case was voluntarily converted to chapter 7. (*See id*.) On April 13, 2017, a Trustee was appointed to administer the estate and liquidate its property. (R. at 7.) During this transition, the Bankruptcy Appellate Panel stayed the appeal. (*Id*.)

After the conversion to chapter 7, Weinberg pursued collection efforts against Clemons on his guarantee by hiring a collection law firm. (*Id*.) This firm took a creditor's examination of Clemons in May 2017 and discovered that, beginning in May 2016, the Debtor made transfers of around $100,000 in cash directly to Clemons's daughter's bank account. (*Id*.) This took place shortly after Weinberg initially brought suit against the Debtor and Clemons. (*Id*.) Weinberg shared these findings with the Trustee, which was enough to establish that the transactions were avoidable as fraudulent transfers under § 548 and 550. (*See id*.) A settlement was reached with Clemons's daughter, Patti, whereby she agreed to pay the estate $75,000 in satisfaction of all the fraudulent transfer claims. (*Id*.)

By investigating these fraudulent transfers, Weinberg incurred $25,000 in legal fees. (*Id*.) After the settlement was reached, Weinberg filed a motion seeking allowance of a substantial contribution administrative expense under § 503(b). (*Id*.) The Trustee opposed this motion, arguing that administrative expenses for substantial contributions are not allowed in chapter 7. (R. at 7–8.) However, the Trustee conceded that Weinberg's actions constituted a substantial contribution. (*Id*.) According to the Trustee, such administrative expenses are only allowed in cases under chapter 9 and 11. (R. at 8.) The bankruptcy court approved Weinberg's motion and allowed an administrative expense of $25,000. (*Id*.)

In September 2017, Tenth Avenue offered to purchase substantially all of the Debtor's assets, including the plow trucks in Weinberg's possession. (*Id*.) This offer was contingent on Tenth Avenue obtaining possession of the plow trucks because it wanted to immediately restart

the Debtor's business and enter into a plowing contract with the City of Badlands. (*Id.*) The Trustee attempted to negotiate with Weinberg for the return of the trucks but no agreement was reached, leading Tenth Avenue to withdraw its offer in November 2017. (*Id.*) In January 2018, Stone Pony offered to purchase all of the Debtor's assets, aside from the plow trucks, for $100,000 less than Tenth Avenue's offer. (*Id.*) The Trustee accepted this offer and the bankruptcy court approved the deal in February 2018. (R. at 8–9.)

Throughout this entire process, the Trustee continued prosecuting the appeal regarding Weinberg's alleged violation of the automatic stay and refused to dismiss it even after consummating the sale to Stone Pony. (R. at 9.) The Trustee hopes to recover damages for the difference between the initial offer made by Tenth Avenue and the proceeds from the sale to Stone Pony. (*Id.*) Additionally, the Trustee proceeded with its substantial contribution appeal. (*Id.*) The two appeals were consolidated, and both the Bankruptcy Appellate Panel and the Thirteenth Circuit affirmed on both issues. (*See* R. at 3, 9.) The Trustee then timely filed this appeal. (R. at 9.)

SUMMARY OF ARGUMENT

Weinberg was not required to turn over the snow plow trucks upon Backstreet Plowing filing bankruptcy because no turnover order was issued under § 542(a). Since Backstreet Plowing did not bring a turnover action and § 542(a) is not self-executing, the obligation to turn over the trucks never arose. The purpose of § 542(a) was to codify pre-Code turnover practices. Under these practices, secured creditors in possession of property that was lawfully repossessed pre-petition were not obligated to turnover property upon filing bankruptcy.

Additionally, Weinberg's passive retention of the snow plow trucks did not violate the automatic stay because this was not an act to "exercise control." Before the "exercise control"

clause was added, § 362(a)(3) was meant to only prohibit acts to "obtain possession." The legislative history surrounding the "exercise control" clause of § 362(a)(3) suggests it was meant to further already existing policy and practice. This addition was intended to prohibit interference with the estate's intangible property rights, not the retention of property that was lawfully repossessed pre-petition. Interpreting "exercise control" to encompass the retention of property that was lawfully repossessed pre-petition is inconsistent with other provisions of the Bankruptcy Code. It renders both § 542(a) and the "obtain possession" clause of § 362(a)(3) superfluous.

Weinberg's possessory interest in the snow plow trucks are not "property of the estate." This interest may only enter the estate upon a turnover order issued under § 542(a). The "exercise control" clause of § 362(a)(3) only applies to "property of the estate," which is defined in §541(a). This definition adopts a legal understanding of property, commonly known as the "bundle of sticks" analogy. At the time that Backstreets Plowing filed bankruptcy, it did not have the "possession stick," thus it does not qualify as "property of the estate." Because Weinberg's possessory interest of the snow plow trucks is not "property of the estate," even if he "exercised control" over the possessory interest, he could not have violated the stay under § 362(a)(3).

The automatic stay's general purpose is to preserve the status quo as of the petition date. The passive retention of property that was lawfully repossessed pre-petition is not an affirmative "act" that upsets the status quo as of the petition date; thus, Weinberg did not violate the automatic stay.

The majority interpretation of § 362(a)(3), which finds that retaining possession of property repossessed pre-petition is "an act to exercise control over property of the estate," unfairly prejudices secured creditors. This is especially apparent when a secured creditor holds a possessory lien in the property or when the property is uninsured. These policy concerns weigh

in favor of adopting the minority approach to § 362(a)(3), which has been adopted by the Tenth and D.C. Circuits.

Courts should be allowed to award an administrative expense when a creditor makes a substantial contribution in a Chapter 7 case because § 503(b)'s plain language allows it and other creditors would be unjustly enriched under the common fund doctrine if Weinberg is not compensated with an administrative expense.

Section 503(b)'s plain language states that courts shall allow an administrative expense for the "actual" and "necessary" expenses incurred in providing a substantial contribution to the estate. Debtor concedes that Weinberg provided substantial contribution to the estate. Thus, the only issue is whether, under any circumstances, a court may allow such an administrative expense in a Chapter 7 case. The plain language of the statute does not bar courts from allowing such administrative expenses in Chapter 7 cases. Some courts have erroneously inferred that Congress intended to create such a prohibition in Chapter 7 cases because § 503(b)(D) explicitly enables courts to allow administrative expenses to creditors who make substantial contributions in cases under Chapter 9 and 11. That inference is misguided. Section 503(b) provides a non-exhaustive list of nine illustrations of when courts shall allow administrative expenses. That list is non-exhaustive by the Bankruptcy Code's own language in § 105, which states the use of the word "includes" signals a non-exhaustive list. Therefore, logic suggests that Congress intended that situations would arise, outside of the nine illustrations provided in § 503(b), in which a court is permitted to allow an administrative expense for a substantial contribution.

Additionally, disallowing Weinberg's administrative expense would unjustly enrich Debtor's other creditors. Such a disallowance runs afoul of the well-established common fund doctrine this Court has repeatedly recognized. Under the common fund doctrine, parties in

interest who benefit a common fund or trust, in this case Debtor's estate, are entitled to reasonable attorneys' fees in compensation. Here, Weinberg benefited the bankruptcy estate by recovering $75,000 of a preferential transfer Debtor made to his daughter prior to filing his petition for bankruptcy. Weinberg seeks a $25,000 administrative expense under § 503(b) in compensation for the attorneys' fees he incurred in benefiting the estate. Section 503(b) therefore rests on similar principles of restitution this Court has recognized under the common fund doctrine. Thus, this Court should permit courts to allow administrative expenses for creditors in Chapter 7 cases when they benefit their respective bankruptcy estates via substantial contributions, like Weinberg did here. Such a ruling is consistent with this Court's established principles of restitution under the common fund doctrine, allow courts to retain discretion in determining whether to allow such administrative expenses.

ARGUMENT

The facts of this case are undisputed. (R. at 3 n.2.) This appeal only presents questions of law, which are reviewed de novo. *Highmark Inc. v. Allcare Health Mgmt. Sys., Inc.*, 572 U.S. 559, 563 (2014).

I. Section 362(a)(3) is not violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date.

The first issue before this court is whether a secured creditor's passive retention of collateral that it lawfully repossessed from the debtor prior to the petition date is a violation of § 362(a)(3).

This provision stays any act to "exercise control over property of the estate." 11 U.S.C. § 362(a)(3). While the majority of courts have interpreted § 362(a)(3) as staying a secured creditor's passive retention of collateral that it lawfully repossessed from the debtor prior to

the petition date, this Court should adopt the minority interpretation of § 362(a)(3), followed by the Tenth and D.C. Circuits. This minority interpretation does not find § 362(a)(3) to create an obligation for a secured creditor to turn over collateral that was lawfully repossessed prior to the petition date upon the filing of bankruptcy. Instead, the debtor must bring a turnover action under § 542(a) in order to compel turnover by the secured creditor.

Here, the Debtor did not bring a turnover action to compel turnover by Weinberg. Under the proper interpretation of § 362(a)(3), Weinberg did not "exercise control over property of the estate." Passive retention of property is not an act to "exercise control" and Weinberg's possessory interest in the plow trucks is not "property of the estate." Additionally, passive retention of the trucks is not an "act" that disturbs the status quo as of the petition date. Thus, the retention is consistent with the general purpose of the automatic stay. For these reasons, Weinberg should not be found to be in violation of the automatic stay under § 362(a)(3).

A. Before the 1984 amendment to § 362(a)(3), it was well established that § 542(a) is not self-executing.

An entity in possession of property that may be used, sold, or leased by the Trustee under § 363 may be ordered to return that property to the Trustee, unless the property is of inconsequential value or benefit to the estate. 11 U.S.C. § 542(a). This provision also applies to a debtor-in-possession since a debtor-in-possession is granted all of the powers and rights of a trustee. *Id*. § 1107. When interpreting a statute, this Court presumes continuity in bankruptcy law and a continuation of established practices, absent a clear and unambiguous indication to the contrary in the statute or legislative history. "[T]his Court has been reluctant to accept arguments that would interpret the Code, however vague the particular language under

consideration might be, to effect a major change in pre-Code practice that is not the subject of at least some discussion in the legislative history." *Dewsnup v. Timm*, 502 U.S. 410, 419 (1992).

As the Supreme Court stated in *Whiting Pools*, § 542(a) was intended to codify the turnover powers developed under "judicial precedent predating the Bankruptcy Code" and nothing in the legislative history indicates an intent to depart from this pre-Code practice. *United States v. Whiting Pools, Inc*., 462 U.S. 198, 208 (1983). In *Whiting Pools*, the Court acknowledged Judge Friendly's analysis in the Second Circuit *Whiting Pools* case as unassailable. *Whiting Pools*, 462 U.S. at 208, n. 16. Judge Friendly concluded that § 542(a) was intended to codify *Reconstruction Finance Corp. v. Kaplan*. *United States v. Whiting Pools, Inc.*, 674 F.2d 144, 152 (2d Cir. 1982), aff'd, 462 U.S. 198, (1983). *RFC v. Kaplan* exemplified the pre-Code practice, under which a bankruptcy court could order turnover by a secured creditor in possession of property seized pre-petition, conditioned on providing adequate protection. *Reconstruction Finance Corp. v. Kaplan*, 185 F.2d 791, 795 (1st Cir. 1950).

Before the Bankruptcy Code, a turnover order was considered an injunctive order and the violation of this order was punishable by contempt. *Oriel v. Russell*, 278 U.S. 358, 363–67 (1929). Bankruptcy courts had the power to compel a third-party to surrender property to the Trustee by summary proceedings. *Mueller v. Nugent*, 184 U.S. 1, 14 (1902). A third-party retaining possession of property that was lawfully repossessed pre-petition did not violate any injunctive order until a turnover order was issued. *Id*. Thus, before the Bankruptcy Code, turnover powers were not self-executing.

Today, bankruptcy courts can use their equitable powers under § 105(a) to enter an injunctive order against a secured creditor to carry out the provisions of § 542(a). 11 U.S.C. §

105(a). Section 542(a) is not self-executing because it was meant to codify pre-Code turnover practices. If it were, the entry of a turnover order would be entirely unnecessary. It would not make sense for a court to issue an injunction to enforce an already existing injunction. "Injunctions . . . are not enforced by further injunctions; injunctions are enforced by contempt citations." Ralph Brubaker, *Of State Sovereign Immunity and Prospective Remedies: The Bankruptcy Discharge as Statutory Ex parte Young Relief*, 76 Am. Bankr.L.J. 461, 555 (2002). Additionally, under pre-Code practices, adequate protection determinations were made during the proceedings for a turnover order. Consistent with § 542(a)'s codification of pre-Code practices, Congress intended for adequate protection determinations to follow these practices.

The exceptions to the turnover requirement in § 542(a) also indicate that § 542(a) is not self-executing. Property of inconsequential value or benefit to the estate is not required to be turned over. Because the value of property is often the subject of disagreement and litigation, this exception seems to indicate that courts must evaluate the value of property during the summary proceedings, following the request for a turnover order.

It is well established that prior to the 1984 amendment to § 362(a)(3), § 542(a) did not require a secured creditor, upon the commencement of a bankruptcy case, to turn over property that was lawfully repossessed prior to the petition date. *In re Riding*, 44 B.R. 846, 848–49 (Bankr. D. Utah 1984); In re Sunrise Equip. & Dev. Corp., 24 B.R. 26, 27–28 (Bankr. D. Ariz.1982). A secured creditor was only required to return property to the debtor-in-possession once a turnover order was issued by the bankruptcy court. Thus, because § 542(a) is not self-executing, the 1984 amendment to § 362(a)(3) remains the only possible source for a secured creditor's supposed obligation to turn over property upon filing without a turnover order.

However, it is unlikely that Congress intended to create a turnover power in § 362(a)(3) that exceeds the scope of the actual turnover provision in § 542(a).

B. The 1984 amendment to § 362(a)(3) was not intended to overturn established turnover practice.

Prior to 1984, entities were stayed from "any act to obtain possession of property of the estate or of property from the estate." 11 U.S.C. § 362(a)(3). A secured creditor was not required to turn over property that was lawfully repossessed pre-petition upon the filing of bankruptcy. A secured creditor was only required to do so once the bankruptcy court issued a turnover order brought by the debtor-in-possession or trustee. Merely maintaining possession of this collateral did not violate the automatic stay provisions in § 362(a)(3). Then, in 1984, Congress amended § 362(a)(3) to also stay any act "to exercise control over property of the estate." *Id.* According to the majority of circuit courts that have interpreted this additional language, a secured creditor in possession of property that was lawfully repossessed pre-petition must turn over the property to the debtor-in-possession upon the filing of bankruptcy. This is known as the majority interpretation; it is problematic in several respects and is a dramatic departure from well-established turnover practices predating 1984.

Like § 542(a), the 1984 amendment to § 362(a)(3) was not intended to dramatically alter well-established turnover practices. Again, the Supreme Court's interpretive canon presuming continuity in the law and established practices, absent an unambiguous indication in the statute or legislative history, cuts against the majority interpretation of "exercise control." The legislative history surrounding the enactment of the 1984 amendment indicates it was not intended to create any significant changes to preexisting practices. The proposed amendment to § 362(a)(3) first appeared in the House amendments to S.658, entitled "An Act

to Correct Technical Errors, Clarify and Make Minor Substantive Changes to [the Bankruptcy Reform Act of 1978]. H.R. Rep. No. 96-1195, at 1, 52 (1980). This House report stated "the change proposed is consistent with policies adopted by Congress in its enactment of the Bankruptcy Reform Act." *Id*. at 2. This shows the amendment was meant to further the well-established practice of allowing secured creditors to maintain possession of collateral that was lawfully repossessed pre-petition, not to turn the established practice on its head. "Every effort has been made to maintain existing policy intact" because "it is . . . premature to change a statute that has been in effect for such a short period where it is not really known to what extent [any] concerns are other than transitory." *Id*.

C. The statutory language of § 362(a)(3) does not require a secured creditor to immediately turn over property that was lawfully repossessed pre-petition without a turnover issued by the court.

There is an important distinction between the terms "control" and "possession." The legislative history surrounding the original version of § 362(a)(3) shows Congress recognized this distinction. Both the House and Senate described the "obtain possession" clause of § 362(a)(3) as designed to protect "property over which the estate has control *or* possession." S. Rep. No. 95-989, at 50 (1978) (emphasis added); H.R. Rep. No. 95-595, at 341 (1977) (emphasis added). The original version of § 362(a)(3) did not address nonpossessory "control" of intangible property. So, an amendment to reach nonpossessory acts of "control" over intangible property is exactly the type of clarifying amendment to "complete the legislative work intended by the Bankruptcy Reform Act." *Id*. at 2.

The distinction between these two terms has also been well established in commercial law. For example, Article 9 of the Uniform Commercial Code provides for tangible property

interests to be perfected by "possession," UCC § 9-313, and intangible property interests to be perfected by "control." UCC § 9-314. "Possession is a meaningless concept when applied to an intangible claim." Grant Gilmore, Security Interests in Personal Property § 14.1, at 439 (1965). Possession is a form of control, typically regarding physical property. This also suggests Congress's use of the word "control" in the 1984 amendment was meant to target nonpossessory conduct not already prohibited by § 362(a)(3). The House and Senate both described the 1984 amendment as merely expanding § 362(a)(3) to reach nonpossessory control of the estate's property interests: "In subsection (a)(3), the automatic stay against acts to obtain possession of property of or from the estate also encompasses acts to exercise control over such property without the need for actually obtaining possession . . . ." 126 Cong. Rec. 31, 153 (1980) (statement of Sen. DeConcini). If the 1984 amendment was meant to prohibit acts to retain possession of property of the estate, Congress would have added explicit language staying any act to "retain possession."

The "exercise control" clause of § 362(a)(3) stays any act interfering with the estate's intangible property rights. A proper, limited interpretation of the "exercise control" clause would still stay a creditor in possession of property from improperly selling the property, a counter-party from terminating a contract with the debtor post-petition, or an individual shareholder prosecuting the debtor corporation's derivative lawsuit post-petition.

Considering the broad sweep of interests that qualify as "property of the estate," it is very unlikely that "Congress intended a violation whenever someone already in possession of property mistakenly refuses to capitulate to a bankrupt's assertion of rights in that property." *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1473 (D.C. Cir. 1991). Whether certain property is brought into the estate upon filing is often disputed and contentious. It is unduly oppressive

for a third-party retaining this property to be found in violation of the stay before it has even been determined if the property falls within the estate.

Additionally, "interpretations of a statute which would produce absurd results are to be avoided if alternative interpretations consistent with the legislative purpose are available." *Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 575 (1982). The majority interpretation of § 362(a)(3) creates absurd results because any secured creditor in possession of property that was lawfully repossessed pre-petition is deemed to have violated the automatic stay. Even if the secured creditor immediately turns over the property upon learning of the bankruptcy filing, the secured creditor will necessarily "exercise control" over that property and thus violate the automatic stay. In practice, courts have not found this to violate the stay. But by strictly looking at the statutory language, this would still technically violate the stay. It is absurd for secured creditors to violate the automatic stay by merely being in possession of property that was lawfully repossessed prior to the petition date.

D. The majority interpretation of § 362(a)(3) is inconsistent with other provisions of the Bankruptcy Code.

By misinterpreting § 362(a)(3), majority courts stray from the proper function of § 542(a). As stated in the preceding section, it is clear that § 542(a) is not intended to be self-executing. "It seems highly unlikely that Congress would indirectly impose a self-effectuating turnover obligation via § 362(a)(3) that exceeds the scope of the § 542(a) turnover provision." *In re Hall*, 502 B.R. 650, 664 (Bankr. D.D.C. 2014). Additionally, § 542(a)'s exception, which provides that property of inconsequential value or benefit to the estate is not subject to turnover, leads to nonsensical results under the majority interpretation of § 362(a)(3). If a court determines that property is of inconsequential value to the estate in a turnover action,

exempting the property from turnover, the court would still find a stay violation if the secured creditor retained possession of the valueless property. In short, the secured creditor would not be obligated to turn over this property but would still violate the stay by not turning it over.

The majority interpretation of § 362(a)(3) also runs afoul to the surplusage canon. This canon assumes "each word Congress uses is there for a reason." *Advocate Health Care Network v. Stapleton*, 137 S. Ct. 1652, 1659 (2017). This principle "assists only where a competing interpretation gives effect to every clause and word of a statute." *Marx v. Gen. Revenue Corp.*, 568 U.S. 371, 371 (2013) (quoting *Microsoft Corp. v. i4i Ltd. Partnership*, 131 S.Ct. 2238 (2011)). Additionally, "the canon is strongest when an interpretation would render superfluous another part of the same statutory scheme." *Id*.

Interpreting "exercise control" to include retaining possession of lawfully repossessed collateral would render the "obtain possession" clause of § 362(a)(3) superfluous. If mere retention of property is an act to "exercise control" and a stay violation, then obtaining possession of property is also an act to "exercise control" and a stay violation. A secured creditor obtaining possession of property would also, by definition, retain possession. This would strip the "obtain possession" clause of any power, rendering it meaningless. The surplusage canon is especially relevant in the context of § 362(a)(3) because the competing interpretation, adopted by the Tenth and D.C. Circuits, gives effect to every word and clause of the statute. *See Inslaw*, 932 F.2d at 1475; *In re Cowen*, 849 F.3d 943, 951 (10th Cir. 2017). *See also In re Hall*, 502 B.R. at 673. Under this proper interpretation, known as the minority interpretation, "exercise control" only applies to intangible property that cannot be possessed, leaving the "obtain possession" clause in full effect. Additionally, this canon is relevant

because the part rendered superfluous is a part of the same statutory scheme; in fact, it is a part of the same statutory provision itself.

The majority interpretation also runs afoul to the surplusage cannon regarding § 542(a). If the secured creditor is required to immediately turn over property upon the filing of a bankruptcy petition under a self-executing § 362(a)(3), § 542(a) becomes completely unnecessary and powerless.

E. A possessory interest in property held by a third-party as of the petition date is not property of the estate.

For a secured creditor to violate the stay under the "exercise control" clause of § 362(a)(3), the secured creditor must "exercise control over property of the estate." § 362(a)(3). The leading cases adopting the majority interpretation of § 362(a)(3), like *Thompson* and *Weber*, recognize that "property of the estate" in § 362(a)(3) is referring to the definition contained in § 541. *Thompson v. Gen. Motors Acceptance Corp*., LLC, 566 F.3d 699, 701–02 (7th Cir. 2009); *In re Weber*, 719 F.3d 72, 75–76 (2d Cir. 2013). "Property of the estate" is defined as "*all legal or equitable interests* of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1) (emphasis added). This shows the Bankruptcy Code adopts a legal understanding of "property of the estate" as interests in property, commonly known by the "bundle of sticks" metaphor. The House and Senate Reports explaining § 541(a)(1) further indicate this understanding of "interest of property": "The debtor's interest of property . . . includes 'title to property, which is an interest, just as are a possessory interest, or leasehold interest . . . ." S. Rep. No. 95-989, at 50 (1978); H.R. Rep. No. 95-595, at 367 (1977).

A debtor still retains an "interest in property" that becomes "property of the estate" under § 541(a) even when his only interest in a tangible object is wrongful possession. *See In re Convenient Food Mart No. 144, Inc.*, 968 F.2d 592, 594 (6th Cir. 1992) ("[A] tenancy at sufferance is a possessory interest in real property within the scope of the estate in bankruptcy under section 541."); *In re Atlantic Business and Community Corp.*, 901 F.2d 325, 328 (3d Cir. 1990) ("mere possession of property at the time of filing is sufficient to invoke the protections of the automatic stay" because "possession of property, even under a tenancy at sufferance, is an interest protected by Section 362(a)(3)"); *In re 48th Street Steakhouse, Inc.*, 835 F.2d 427, 430 (2d Cir. 1987) (same). Disturbance of this wrongful possession would be protected by the automatic stay. These cases demonstrate that courts widely recognize the "bundle of sticks" approach to "property of the estate" under § 541(a)(1).

Some advocates of the majority interpretation insist that the "exercise control" clause of § 362(a)(3) refers to property in the colloquial sense, meaning the entire property to which the debtor claims title. Eugene R. Wedoff, *The Automatic Stay Under § 362(a)(3)—One More Time*, 38 No. 7 Bankruptcy Law Letter NL 1 (July 2018). While the Code refers to property in the colloquial sense in certain provisions, applying this interpretation to § 362(a)(3) is mistaken due to the precise use of the phrase "property of the estate." The "obtain possession" clause of § 362(a)(3) prohibits any "act to obtain possession of property *of* the estate or property *from* the estate." § 362(a)(3) (emphasis added). This shows that the "obtain possession" clause uses both the colloquial sense of property, with "property from the estate," and the legal understanding of "interest in property," with "property of the estate."

For example, consider the typical scenario the "obtain possession" clause is meant to prohibit: a debtor's car is repossessed by a secured creditor post-petition. This clearly violates

the "obtain possession" clause of § 362(a)(3), because this act "obtains possession" of "property *from* the estate," not "property *of* the estate." The secured creditor in this scenario is obtaining possession of property in the colloquial sense. The secured creditor understands that this action does not grant it all the "sticks in the bundle," just the "possession stick." It would be strange to describe this act as "obtaining possession" of the "possessory interest." This is precisely why Congress included "property from the estate" in the "obtain possession" clause of § 362(a)(3). Thus, an act by a secured creditor to repossess a debtor's property post-petition is stayed by use of the term "property," not "property of the estate."

In the context of a secured creditor who has lawfully repossessed collateral pre-petition, the debtor does not have the "possession stick" at the time of filing. Thus, this property interest does not enter into the estate at commencement of the case. Section 541(a)(1) supports this view, defining "property of the estate" as "all legal or equitable interests of the debtor in property *as of the commencement of the case*." § 541(a)(1) (emphasis added). The right to possession may enter the estate under § 541(a)(7) upon a turnover order under § 542(a). *Whiting Pools* recognized this, stating that § 542(a) "grants to the estate a possessory interest that was not held by the debtor at the commencement of" the bankruptcy case. *Whiting Pools*, 462 U.S. at 201. As previously stated, § 542(a) is not self-executing, and thus the possessory interest in repossessed collateral does not become property of the estate until a turnover order is issued. *Whiting Pools* reinforces this interpretation of "property of the estate" as a "bundle of sticks."

The Court in *Whiting Pools* stated "§ 541(a)(1) is intended to include in the estate any property made available to the estate by other provisions of the Bankruptcy Code." *Id*. at 205. This seems to imply that any possessory right obtained by the estate through a turnover order

is immediately property of the estate under § 541(a)(1) at the time of filing, before the estate actually obtains possession via turnover. However, the Court then contradicts itself by stating the "possessory interest . . . was not held by the debtor at the commencement" of the bankruptcy case.

This overly broad interpretation of § 541(a)(1) seems to ignore other subparagraphs of § 541(a), such as (a)(3) and (a)(7). These subparagraphs include property brought into the estate through the "avoiding powers" provisions, and many lower courts have refused to follow *Whiting Pools'* suggestion that property recovered through these powers is somehow property of the estate upon commencement of the bankruptcy case. For example, the Second and Tenth Circuits refused to consider fraudulently transferred property as part of the estate under § 541(a)(1) prior to its recovery. *In re Colonial Realty Co*., 980 F.2d 125, 131 (2d Cir. 1992); *Rajala v. Gardner*, 709 F.3d 1031, 1037–39 (10th Cir. 2013). The statement made by the *Whiting Pools* Court, that § 541(a)(1) includes property made available by other provisions of the Code, is merely confused dicta. The only issue truly addressed by the Court in *Whiting Pools* is the extent of the § 542(a) turnover power; not the scope of the estate.

Even if "exercising control" could be construed to mean retaining physical possession, a secured creditor would only be exercising control over the possessory "interest in property" the debtor lacked at the time of filing, so it would not be "property of the estate." Retaining possession of collateral lawfully repossessed pre-petition does violate the automatic stay.

F. The automatic stay's general purpose is consistent with a secured creditor retaining possession of property lawfully repossessed pre-petition.

The automatic stay's general function is to preserve the status quo as of the petition date while the bankruptcy case determines the affected parties' respective rights. *In re*

Billings, 687 Fed. Appx. 163, 165 (3d Cir. 2017). *See also Hillis Motors, Inc. v. Hawaii Auto. Dealers' Ass'n*, 997 F.2d 581, 585 (9th Cir. 1993) (The automatic stay "is designed to effect an immediate freeze of the status quo."); *I.C.C. v. Holmes Transp., Inc*., 931 F.2d 984, 987 (1st Cir. 1991) ("The automatic stay is designed to effect an immediate freeze of the status quo at the outset of the [bankruptcy] proceedings ….").

The stated purpose for § 362(a)(3) is "to prevent dismemberment of the estate," in furtherance of the stay's general goal. *See Checkers Drive-In Restaurants, Inc. v. Commissioner of Patents and Trademarks*, 51 F.3d 1078, 1083 (D.C. Cir. 1995) ("review of the legislative history reveals … Congress included section 362(a) in the Bankruptcy Code to ensure the preservation of the status quo between a debtor and its creditors"). "The automatic stay, as its name suggests, serves as a restraint only on acts to gain possession or control over property of the estate"; preserving the secured creditor's possession of property that was lawfully repossessed pre-petition is consistent with this goal. *Inslaw,* 932 F.2d at 1474. Section 362(a)(3) only prohibits an "act . . . to exercise control," indicating the stay's general purpose is to prevent affirmative conduct that upsets the status quo as of the petition date. Passive retention of property lawfully repossessed pre-petition is not an affirmative act that alters the status quo, and thus it is not an act under § 362(a)(3).

The majority interpretation of § 362(a)(3) turns the automatic stay from a shield to a sword, drastically altering the affected parties' status and disrupting the status quo as of the petition date. As stated in the two leading cases for the majority interpretation,

> "[t]he primary goal of reorganization bankruptcy is to group all of the debtor's property together in his estate such that he may rehabilitate his credit and pay off his debts; this necessarily extends to all property, even property lawfully seized pre-petition. An asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot."

In re Weber, 719 F.3d at 81 (quoting *Thompson*, 566 F.3d at 702).

These majority courts are ignoring the stated purpose of § 362(a)(1) and supplementing their preferred policy under the guise of general bankruptcy purposes, striking a different balance than the one intended by Congress.

G. The majority interpretation of § 362(a)(3) unfairly harms secured creditors and impedes their right to adequate protection.

A common policy concern cited by critics of the minority interpretation of § 362(a)(3) is the disproportionate bargaining power the secured creditor has over the debtor. *Thompson*, 566 F.3d at 707. This is especially relevant for debtors in chapter 13 cases who have lost their vehicles to repossession. However, the majority interpretation of § 362(a)(3) swings the balance of bargaining power to the exact opposite extreme, leaving the secured creditor powerless and at the debtor's mercy. Under this interpretation, the debtor is not required to provide adequate protection before the secured creditor turns over the property, which almost always results in no adequate protection being negotiated as part of the turnover process. This places the burden on the secured creditor to move for stay relief or adequate protection and this imbalance is often used as leverage by the debtor during adequate protection negotiations once the property has already been turned over. Obtaining possession is a tactic used by secured creditors to ensure adequate protection; stripping secured creditors of this right places their right to adequate protection in jeopardy. Placing the burden on secured creditors is at odds with the statutory allocation that places the burden regarding adequate protection on the debtor-in-possession under § 362(g)(2) and § 363(p)(1).

Most courts have held that a secured creditor's right to receive adequate protection arises only after the creditor files a request with the court. Most courts also determine the

extent of adequate protection as of the date the creditor files the request with the court. Under the majority interpretation of § 362(a)(3), this creates difficulties. Because the secured creditor would have to turn over the property immediately, adequate protection would not be sought until the debtor was in possession of the property. This problem is especially apparent in the case of a secured creditor with a possessory lien and a secured creditor turning over uninsured property.

When a secured creditor has a possessory lien in property and is compelled to turn over that property upon filing, the secured creditor risks losing its lien, and thus its right to adequate protection. Advocates of the majority interpretation argue that this is not a concern for secured creditors for two reasons. First, if the exception to the stay under § 362(b)(3) does not apply, applicable non-bankruptcy law prevents the secured creditor from losing the possessory lien, because turning over the property would be "involuntary" and thus would not result in the loss of the possessory lien. Second, secured creditors with possessory liens would be protected by § 362(b)(3), which states that an act by an entity is not stayed if it is "to perfect, or to maintain or continue the perfection of, an interest in property . . . ." § 362(b)(3).

Generally, a possessory lien remains attached to property when the secured party involuntarily loses possession. *See* Restatement of Security § 80 cmt. c (1941); *See also Braden v. Cline*, 51 Cal.App. 424, 196 P. 913, 914 (1921); *Finch v. Miller*, 531 P.2d 892, 893 (Or. 1975). However, application of this general principle of security is questionable. This issue typically arises in the context of court orders, not in the context of mandatory turnovers under § 362(a)(3). These two scenarios are different in fundamental ways, and convincing state courts to hold a turnover as involuntary under the majority interpretation of § 362(a)(3) is far from a guarantee. Section 362(a) is a purely statutory injunction and goes into effect

without any court order. So, when a secured creditor returns property upon a debtor's demand for the property, the secured creditor's loss of possession does not have the typical indicators of an involuntary loss, like a court order or a seizure by the government.

This uncertainty is best exemplified by the Eighth Circuit B.A.P. case *In re WEB2B Payment Solutions, Inc*. In that case, a secured creditor was in possession of funds on the petition date, with a possessory lien in the funds. The chapter 7 trustee demanded the secured creditor to turn over the funds without a turnover order issued by the court. The secured creditor complied with the demand and turned over the funds without being provided any adequate protection. Later in the bankruptcy case, the secured creditor claimed it still held a first-priority lien because it involuntarily lost possession due to the Eighth Circuit adoption of the majority interpretation of § 362(a)(3). However, both the bankruptcy court and the B.A.P. held that the secured creditor no longer held a first-priority lien because the it had voluntarily relinquished possession. *In re WEB2B Payment Solutions, Inc*., 488 B.R. 387 (B.A.P. 8th Cir. 2013). While this result may not necessarily be universal amongst bankruptcy courts and circuits, a secured creditor will always be at risk of a similar holding by turning over property it holds on the petition date. In such cases, the secured creditor would lose its possessory lien and any right to adequate protection.

A secured creditor with a possessory lien is also exposed to risk in jurisdictions that have adopted the majority interpretation of § 362(a)(3), due to the disagreement amongst courts regarding the applicability of § 362(b)(3). If the secured creditor refuses to turn over the property upon demand by the debtor-in-possession and argues that § 362(b)(3) excepts it from this demand, the secured creditor risks an adverse ruling on this issue. If an adverse ruling is entered, the secured creditor will violate the automatic stay and be sanctioned for contempt. If

the secured creditor does turn over the property but would have received a favorable ruling on the § 362(b)(3) exception, the secured creditor risks a ruling that the relinquishment of the property was voluntary due to the exception applying yet still turning over the property. This would then result in the secured creditor losing its possessory lien and right to adequate protection. And as *In re WEB2B* shows, even if the § 362(b)(3) exception does not apply, the court could still find that the loss of possession was voluntary, resulting in a loss of its lien and right of adequate protection.

Additionally, when a secured creditor is compelled to turn over property that is uninsured and the property is destroyed after being turned over, the secured creditor's right to adequate protection is completely lost. Insurance is typically the minimum for adequate protection yet there is a chance the property will be destroyed before the secured creditor has the chance to bring an action requesting adequate protection from the court. This, too, exposes secured creditors to an unfair amount of risk.

H. Under the proper interpretation of § 362(a)(3) and § 542(a), Weinberg did not violate the automatic stay.

A proper interpretation of § 362(a)(3) that is consistent with other provisions of the Bankruptcy Code, pre-Code turnover practices, and its legislative history, would not stay Weinberg's retention of the plow trucks. The proper, limited interpretation of the "exercise control" clause in § 362(a)(3) only stays acts that exercise control over intangible property of the estate. "Property of the estate" does not include Weinberg's possessory interest in the plow trucks, and "exercise control" does not mean retaining possession of the trucks. Passive retention of the snow plow trucks was not an affirmative "act" that disrupted the status quo as of the petition date. For all these reasons, Weinberg did not violate the automatic stay and this

Court should affirm the Thirteenth Circuit's decision.

II. Section 503(b)'s plain language permits courts to allow administrative expenses for substantial contributions in Chapter 7 cases and the creditors of this estate would be unjustly enriched if Weinberg is not allowed an administrative expense.

The second issue before this Court is whether, under any circumstances, a court can award an administrative expense to a party in interest who makes a substantial contribution in a chapter 7 case.

Section 503 of the Bankruptcy Code governs the allowance of administrative expenses and establishes the mechanism through which parties can request administrative expense payments. 4 COLLIER ON BANKRUPTCY ¶ 503.01 (Alan N. Resnick & Henry J. Sommer, eds., 16th ed.) Essentially, an administrative expense is a high-priority payment because, under § 507(a)(2), administrative expenses allowed under § 503(b) take second-priority out of the 10 categories of priority claims. 4 COLLIER ON BANKRUPTCY ¶ 503.01 (Alan N. Resnick & Henry J. Sommer, eds., 16th ed.) Section 503(b) then illustrates nine instances in which the court shall allow administrative expenses. 11 U.S.C. § 503(b). Specifically, § 503(b)(3)(D) states in relevant part:

> (b) [a]fter notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including –
>
> > (3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by –
> >
> > (D) a creditor … in making a substantial contribution in a case under chapter 9 or 11 of this title …

11 U.S.C. § 503(b)(3)(D).

This Court should note two salient facts. First, the parties do not dispute that the current case has been converted to chapter 7. (R. at 7–8). Second, Debtor concedes that Weinberg made

a substantial contribution. (*Id*.) Thus, the only dispute with respect to this issue is whether, under any circumstances, a court may grant an administrative expense to a creditor who makes a substantial contribution in a chapter 7 case.

Here, Weinberg sought an administrative expense of $25,000 to cover attorneys' fees after he recovered a $75,000-preferential transfer from the Debtor's daughter shortly after Debtor converted the case from chapter 11 to chapter 7. (R. at 7–8). Weinberg's recovery directly benefited the entire bankruptcy estate by increasing the estate's value by $50,000 ($75,000 recovery minus $25,000 administrative expense). As a result, Weinberg should be allowed an administrative expense because 1) Section 503(b)'s plain meaning provides courts the discretion to allow such an administrative expense when it makes such a determination on a case-by-case basis and 2) would unjustly enrich Debtor's other creditors in contradiction to this Court's well-established common fund doctrine.

A. Section 503(b)'s plain language allows bankruptcy courts to allow administrative expenses in Chapter 7 cases.

Disputes over the meaning of the Bankruptcy Code "begins where all such inquiries must begin: with the language of the statute itself." *United States v. Ron Pair Enters., Inc*., 489 U.S. 235, 249 (1989). When the language is clear, this Court does not need to look further than the language itself "because Congress says in a statute what it means and means in a statute what it says." *Hartford Underwriters Ins. Co. v. Union Planters Banks, N.A.*, 530 U.S. 1, 6 (2000).

Section 102(3) states that the use of "includes" and "including" are not limiting. 11 U.S.C. § 102(3). Thus, the language of § 503(b) is clear; Congress intended the nine illustrations this section provides to be a demonstrative, non-exhaustive list. *See United States v. Ledlin*, 886 F.2d 1101, 1106 (9th Cir. 1989) ("The use of a form of the word 'include' is significant, and

generally thought to imply that terms listed immediately afterwards are in inexhaustive list of examples, rather than a bounded set of applicable items.") Because the language of § 503(b) is clear and the nine illustrations constitute demonstratives, Congress's decision to not explicitly state that courts shall award an administrative expense in a chapter 7 case to a party who makes a substantial contribution does not preclude a court from allowing such an administrative expense.

Nevertheless, the demonstratives laid out in § 503(b) are not meaningless. *In re Connolly North America, LLC (In re Connolly)*, 802 F.3d 810 (6th Cir. 2015). "[The demonstratives] provide a contextual framework, describing obligations of the bankruptcy estate, such as wages and taxes, and situations where the trustee, creditors, creditor committees, and others administer, preserve, or augment the estate." *Id*. Furthermore, it follows logically that Congress "expressly mention[ed] Chapters 9 and 11 in the context of creditor activity making a 'substantial contribution,' but not Chapter 7." *Id*. As the Sixth Circuit pointed out in *In re Connolly*, "In both Chapters 9 and 11, as a matter of course, a creditor will spend its own time and resources to benefit the estate; however, in all but the most atypical Chapter 7 case (such as the instant case), the U.S. trustee fulfills this role." *Id*. Additionally, other courts outside of the Sixth Circuit have adopted this reading of the statute. *See, e.g.*, *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018) (allowing creditor an administrative expense under § 503(b) in a chapter 7 case where creditor discovered assets that benefited all creditors); *In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018) (allowing creditor an administrative expense under § 503(b) in a chapter 7 case where creditor ensured the trustee was able to pursue a fraudulent transfer claim); *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018) (allowing creditor an administrative expense under § 503(b) in a chapter 7 case where debtor's former chief financial officer provided a substantial benefit to the estate); *In re Maqsoudi*, 566 B.R. 40,

44-45 (Bankr. C.D. Cal. 2017) (allowing an administrative expense under § 503(b) in a chapter 7 case where creditor took action that helped recover and ultimately sell property that benefited the estate). The method of statutory interpretation utilized by these courts is also consistent with the Bankruptcy Code's legislative history, which states "the primary role of the U.S. trustees is to serve as the 'bankruptcy watch-dogs to prevent fraud, dishonesty, and overreaching in the bankruptcy arena.'" H.R. Rep. No. 95-595 at 88 (1977). Trustees are not appointed automatically in cases arising under chapters 9 and 11 of the Bankruptcy Code. 11 U.S.C. §§ 901, 1104. As a result, it is almost exclusively the province of the creditors to serve as the "watch-dogs" in those cases. In cases arising under chapters 7, 12, and 13, however, a Trustee is appointed at the outset. 11 U.S.C. §§ 701, 702, 703, 1202, 1302. Nothing in the language of the statute indicates that creditors are not allowed administrative expenses for benefiting the estate simply because a trustee is appointed. Therefore, it is clear from § 503(b)'s plain language that courts are not precluded from allowing an administrative expense to a creditor who makes a substantial contribution in a chapter 7 case solely because it is a chapter 7 case. 11. U.S.C. § 503(b).

Finally, even before the Sixth Circuit's decision in *Connolly*, courts have routinely allowed administrative expenses in chapter 7 cases for actions outside of the nine illustrations provided in § 503(b). *See In re Pappas*, 277 B.R. 171 (Bankr. E.D.N.Y. 2002) (allowing an administrative expense in a chapter 7 case for creditor to recover attorneys' fees after findings its actions benefited the estate); *In re Zedda*, 169 B.R. 605 (Bankr. E.D. La. 1994) (allowing an administrative expense in a chapter 7 case when creditor assisted trustee in recovering a fraudulent transfer); *In re Rumpza* 54 B.R. 107 (Bankr. D.S.D. 1985) (allowing an administrative expense in a chapter 7 case when creditor assisted trustee in benefiting the estate); *In re Antar*,

122 B.R. 788 (Bankr. S.D. Fla. 1990); *In re George*, 23 B.R. 686 (Bankr. S.D. Fla. 1982) (allowing an administrative expense in chapter 7 case under § 503(b) when creditor blocked a discharge of the debtor); 11 U.S.C. § 503(b). In those cases, the courts allowed creditors administrative expenses for benefiting their respective estate in some way even though the benefit conferred was not specifically enumerated in § 503(b). Thus, this method of statutory interpretation is well-established and not merely a trend adopted by a handful of jurisdictions. This Court should not read language into § 503(b) that does not exist. Nor should it disallow bankruptcy courts to have the kind of flexibility Congress intended by allowing them to grant administrative expenses in chapter 7 cases.

B. Allowing an administrative expense in this case is consistent with the common fund doctrine and Debtor's other creditors would be unjustly enriched if Weinberg is not compensated for benefiting the estate.

This Court should affirm the Thirteenth Circuit's judgment because allowing Creditor an administrative expense in this situation is consistent with the common fund doctrine recognized by this Court.

This Court established the common fund doctrine in *Trustees of the Internal Improvement Fund v. Greenough*. 105 U.S. 127 (1881). In *Greenough*, this Court held "[i]t is a general principle that a trust estate must bear the expenses of its administration" and "where one of many parties having a common interest in a trust fund, at his own expense takes proper proceedings to save it from destruction or to restore it . . . he is entitled to reimbursement , either out of the fund itself, or by proportional contribution from those who accept the benefit of his efforts." *Id*. The Court has regularly recognized this common fund doctrine since its inception. "[T]he common fund doctrine … stands as a well-recognized exception to the general principle that requires

every litigant to bear his own attorney's fees," and "[s]ince … 1882 … this Court has recognized consistently that a litigant or a lawyer who recovers a common fund for the benefit of persons other than himself or his client is entitled to a reasonable attorney's fee from the fund as a whole." *Boeing Co. v. Van Gemert*, 444 U.S. 472 (1980). *See, e.g., Central Railroad & Banking Co. v. Pettus*, 113 U.S. 116 (1885) (recognizing the common fund doctrine); *Sprague v. Toconic National Bank*, 307 U.S. 161 (1939) (same). Therefore, the common fund doctrine rests on the same principles of restitution as § 503(b), which is essentially a codification of the common fund doctrine in the Bankruptcy Code. 11. U.S.C. § 503(b). Thus, the common fund doctrine is well-established and consistent with the Bankruptcy Code's mechanism that enables courts to allow administrative expenses where a creditor benefits the entire estate.

Denying Weinberg an administrative expense would constitute unjust enrichment for other creditors. The common fund doctrine "rests on the perception that persons who obtain the benefit of a lawsuit without contributing to its cost are unjustly enriched at the successful litigant's expense." *Boeing Co.* 444 U.S. at 478. Here, Weinberg benefited the entire estate by recovering the $75,000 preferential transfer. R. at 7-8. The entire estate benefited from Weinberg's actions, and Weinberg only seeks to recover attorneys' fees. *Id*. Moreover, Debtor concedes that Weinberg's actions constituted a substantial contribution. *Id*. Thus, the case currently before this Court fits squarely with *Boeing Co.,* and denying Creditor an administrative expense for attorneys' fees would constitute unjust enrichment for the entire estate.

This Court should avoid setting a precedent of unjust enrichment. Doing so will create a chilling effect on similarly situated creditors in a position to benefit the entire estate. Courts have recognized such a chilling effect in their allowances of administrative expenses in chapter 7 cases where a creditor benefits the entire estate. "To not allow, under appropriate circumstances,

creditors and their counsel to recover fees and costs incurred and paid …would have a chilling effect upon creditor participation within a bankruptcy proceeding." *In re Antar*, 122 B.R. 788, 791 (Bankr. S.D. Fla. 1990). Other courts have found that allowing an administrative expense in these circumstances is in the public interest. *In re Integrity Supply, Inc.*, 417 B.R. 514, 522 (Bankr. S.D. Ohio 2009) ("[The] public interest is best served by encouraging entities … to alert a Trustee of the existence of assets that will benefit a bankruptcy estate…"). The record demonstrates, without ambiguity, that Weinberg benefited the entire estate when he recovered the $75,000 Debtor had conveyed to his daughter. R. at 7-8.

Creditors undoubtedly benefit from any action that maximizes the value of the estate, even in chapter 7 cases. Weinberg was acting in the best interest of the entire bankruptcy estate when he recovered the $75,000, as well as in his own self-interest. *Id*. But such self-interest is immaterial to the benefit he conferred to the entire estate. Quite simply, Weinberg was not an officious intermeddler, but rather a watch-dog. If this court opts to adopt a blanket rule that prohibits bankruptcy courts from allowing administrative expenses to such watch-dog creditors who act to maximize the value of the estate, then it would clearly disincentivize creditors from participating in the proceedings because they would incur costs that might outweigh any potential benefit they would recover. Nothing in the Bankruptcy Code's legislative history indicates that Congress intended to create such disincentives. If it did, Congress could have easily written it into the Bankruptcy Code. The benefit to incentivizing creditor-participation in chapter 7 cases is also readily-apparent: the value of the estate is most likely to be maximized when creditors assist the trustee as watch-dog. Although this role is normally delegated to trustees, they are not infallible. In certain circumstances, such as the case here, there may be

times when it is a creditor, acting in his own self-interest and the interest of the estate, who acts to maximize the estate's value.

Finally, affirming the Thirteenth Circuit's judgment would allow courts to retain discretion in determining whether to allow such administrative expenses, which is consistent with the Bankruptcy Code. It would not, as the old maxim goes, "open the floodgates." To be sure, § 503(b)(1)(A) limits administrative expenses to "the actual, necessary costs and expenses of preserving the estate." 11 U.S.C. § 503(b)(1)(A). Certainly, it would be improper for a court to allow an administrative expense for a creditor who racked up hefty legal fees in conferring negligible benefits to the estate. But this limitation prevents such a tragedy of the commons by allowing courts to regulate the allocation of administrative expenses. Furthermore, such discretion tempers potential overzealous creditors because they are not guaranteed to be awarded an administrative expense at all. Allowing courts to retain such discretion is likewise consistent with the "overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction." *Bank of Marin v. England*, 385 U.S. 99, 103 (1966). Moreover, the Bankruptcy Code itself states, "[t]he court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title." 11 U.S.C. § 105(a). Thus, there is no doubt that the Thirteenth Circuit's judgment is consistent with the recognition that bankruptcy courts are courts of equity and allowing them to retain discretion over such matters allows them to serve the function Congress intended for them.

CONCLUSION

Weinberg was not required to turn over the snow plow trucks, because Backstreets Plowing did not bring a turnover action under § 542(a). Section 542(a) is not self-executing and thus did not create an obligation for Weinberg to turn over the plow trucks. This obligation

would only arise upon a turnover order issued by the bankruptcy court, which requires Backstreets Plowing to request one from the bankruptcy court. Additionally, Weinberg was not required to turn over the plow trucks under § 362(a)(3) either, because retaining possession of the trucks was not an act to "exercise control," and the "exercise control" clause in § 362(a)(3) only applies to acts that disrupt the estate's intangible property rights. Furthermore, Weinberg's possessory interest in the plow trucks was not "property of the estate." Again, this prevents § 362(a)(3) from staying Weinberg's passive retention of the snow plow trucks. Passive retention of the trucks is not an affirmative "act" that upsets the status quo as of the petition date, and thus it does not undermine the automatic stay's general purpose.

Furthermore, Weinberg should be allowed an administrative expense for his substantial contribution. Section 503(b)'s plain language permits courts to allow administrative expenses when a creditor, like Weinberg, substantially contributes to the estate in a Chapter 7 case. Section 503(b) does not expressly bar courts from making such an allowance, and the nine illustrations provided in that section constitute a non-exhaustive list because Congress used the word "including." In addition, Weinberg should be allowed an administrative expense because such an allowance is consistent with the common fund doctrine and Debtor's other creditors would be unjustly enriched if Weinberg is not compensated for the expenses he incurred in benefiting the estate.

For the foregoing reasons, Weinberg requests that this Court affirm the Thirteenth Circuit's judgment.

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